









FACEBANK

ReporteAnual

2023



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Mensaje del CEO



Mensaje del CEO

Crecimiento

26K
nuevos clientes

Hace quince años, FACEBANK se embarcó en un viaje de innovación al adoptar un enfoque boutique que prioriza la atención al cliente y la digitalización de servicios. Gracias al compromiso de nuestro equipo y a nuestro liderazgo en áreas estratégicas, hemos impulsado el crecimiento de cuentahabientes de manera digital, logrando un hito de más de 26,000 nuevos clientes solo en el 2023, desde nuestra plataforma “Tu Cuenta Dólar FACEBANK”.

Este año también marcó un paso significativo en nuestra transformación digital con la afiliación a Plaid, una empresa estadounidense que construye una red de transferencia de datos para impulsar productos financieros digitales, permitiéndonos mejorar la experiencia de nuestros usuarios al ofrecer acceso rápido y seguro a diferentes apps financieras.

Este crecimiento nos ha permitido aumentar nuestro impacto en la comunidad latina y crear oportunidades para nuestros clientes, rompiendo las fronteras físicas en un mundo digital. Hoy nuestro objetivo sigue siendo el mismo desde que se abrieron las puertas de **FACEBANK: consolidarnos como el banco americano favorito de los latinoamericanos.**

Con la creación de la aplicación móvil "Tu Cuenta Dólar FACEBANK" en el 2021, aceleramos nuestra transformación digital, al permitir a nuestros clientes latinoamericanos solicitar la apertura de cuentas de forma remota y segura, brindando una experiencia de usuario sencilla, amigable y alineada con los más altos estándares de la banca digital.

Nuestra capacidad para adaptarnos a los retos del mercado y nuestra posición pionera en la digitalización nos han permitido crecer de manera sostenida. Seguiremos respaldando a familias y empresas, simplificando su experiencia bancaria y consolidándonos cada vez más como el banco preferido por nuestros hermanos latinoamericanos..

Tu Cuenta Dolar



Tu Cuenta Dolar

En FACEBANK seguimos mejorando nuestro sistema de apertura de cuenta digital en nuestra aplicación “Tu Cuenta Dolar”, para ofrecer una experiencia aún más eficiente y con menor fricción a quienes buscan abrir una cuenta en dólares online y en minutos.

Con el objetivo de optimizar la experiencia de usuario, nuestra última actualización incluye la lectura automática de documentos de identidad, permitiendo que los clientes solo tomen una foto de su documento para autocompletar campos como nombre, apellido, número de documento y género. Anteriormente debían ingresar los datos manualmente, es por ello que este ajuste elimina errores de tipeo y por ende, agiliza el proceso. Ahora, abrir una cuenta puede llevar 5 o 7 minutos.

Documentos de Identidad Aceptados

19
paises en América y España

Ya aceptamos el documento de identidad de más de 19 paises del continente americano y en España, este año agregamos 12 documentos de identidad válido por país. Además se ha integrado la validación del correo electrónico para detectar posibles fraudes, y la opción de registrarse con Apple ID para mayor comodidad. En Estados Unidos, se permiten altas automáticas utilizando la licencia de conducir como documento válido, lo que ha simplificado aún más el proceso.

Registro

5 min
completar la solicitud

Nuestro objetivo es continuar implementando mejoras que reduzcan la necesidad de revisiones manuales. También hemos integrado verificaciones de clientes contra listas de OFAC, noticias negativas y personas políticamente expuestas para asegurar la máxima seguridad y cumplimiento normativo. Estas mejoras reflejan nuestro compromiso de ofrecer un acceso más rápido y seguro al sistema financiero estadounidense, especialmente para la población latinoamericana.

FACEBANK App



Depósito efectivo

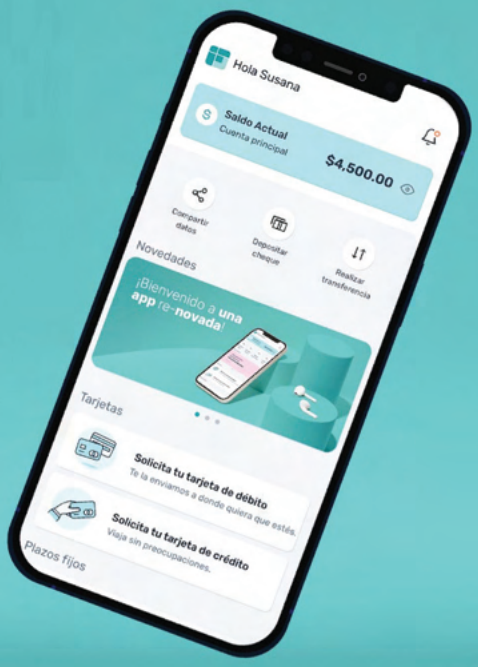
El avance tecnológico y su integración en nuestro día a día nos llevó a desarrollar nuestra app de onboarding TCD. A su vez, los nuevos usuarios, al experimentar la facilidad de uso, nos impulsaron a replantear nuestra app bancaria, que en ese momento no ofrecía una experiencia de usuario acorde con sus expectativas. Esto nos motivó a rediseñar la aplicación, alineándola con las necesidades de nuestros clientes actuales y con nuestra filosofía de digitalización y modernización.

La nueva versión de la app fue recibida de manera excepcional, lo que se reflejó en una mejora significativa de nuestra calificación en las tiendas de aplicaciones, pasando de 1.5 a 4.8 estrellas tanto en la App Store® como en la Play Store®. Dado el éxito obtenido, hemos adoptado un enfoque mobile-first en nuestros desarrollos tecnológicos, agregando constantemente nuevas funcionalidades y servicios. Hoy, nuestra app se ha convertido en un "one-stop shop" para los clientes de FACEBANK.

Rating

4.8

En la App Store® y Play Store®



Depósito efectivo



Depósito efectivo

Dado que FACEBANK opera bajo un modelo completamente digital, ciertos servicios tradicionales no estaban disponibles anteriormente, como la posibilidad de depósitos en efectivo debido a la ausencia de sucursales físicas. No obstante, en línea con nuestra estrategia de expansión de servicios de banca estadounidense para clientes internacionales, hemos desarrollado una alianza estratégica que nos permite ofrecer a nuestros usuarios más de 40,000 puntos de depósito.

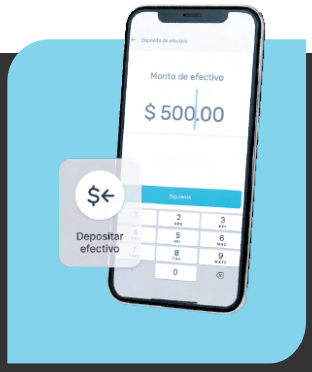
Gracias a esta colaboración, nuestros clientes ahora pueden fondear sus cuentas de manera sencilla en establecimientos como Walgreens, CVS y 7-Eleven. El proceso es ágil y seguro: los usuarios solo necesitan generar un código de barras desde nuestra app y presentar el efectivo en cualquiera de estos comercios, donde el personal gestionará el depósito.

Esta innovación fortalece nuestra oferta de servicios al proporcionar una experiencia bancaria más completa, alineada con las necesidades de nuestros clientes globales y reafirmando nuestro compromiso con la modernización y accesibilidad en la banca digital.

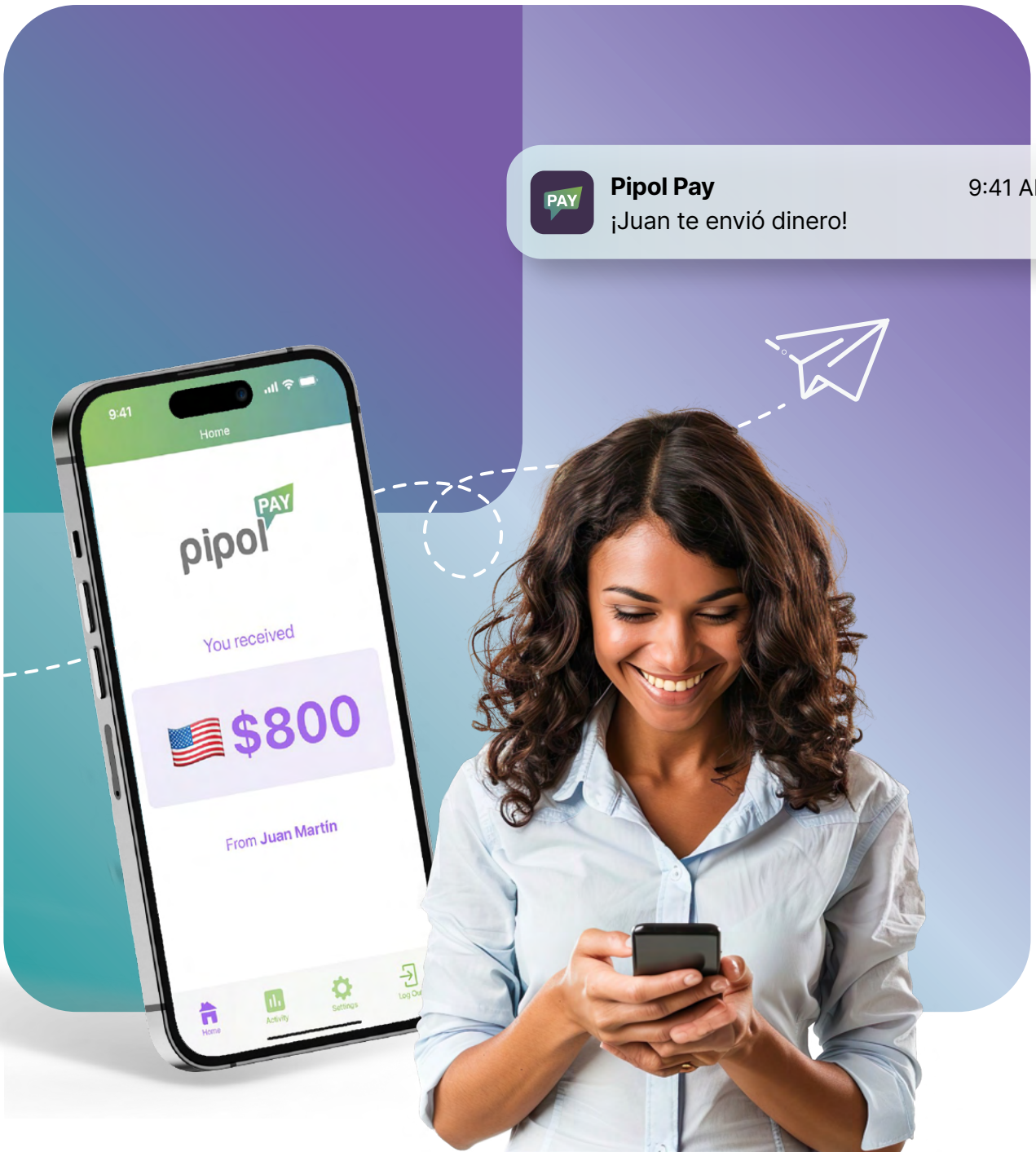
Ubicaciones

40K

A lo largo de EE.UU



pipol PAY


Pipol Pay
9:41 AM
¡Juan te envió dinero!
9:41
Home
pipol PAY
You received
$800
From Juan Martín

pipol PAY

Desde su lanzamiento en 2020, hemos enfocado nuestros esfuerzos en optimizar continuamente el proceso de envío de dinero. Nuestra solución permite a los clientes superar las limitaciones de las plataformas que operan únicamente dentro de los Estados Unidos, facilitando transferencias sin complicaciones a través de nuestra aplicación móvil.

En 2023, Pipol Pay alcanzó importantes avances, como la integración de Pipol Pay online, que permite a todos los comercios recibir liquidaciones instantáneas sin importar el banco, gracias a una nueva API implementada en mayo de 2023. Esta super funcionalidad no solo beneficia a los comercios - que ahora están protegidos y reciben su dinero inmediatamente- sino también a FACEBANK, al mantener a todos sus cuentahabientes online.

Además, hemos adaptado nuestras operaciones para cumplir con las reglas de NACHA, asegurando que todos los envíos de dinero estén debidamente autorizados. En términos de crecimiento, hemos aprobado entre 26,000 y 31,000 cuentas personales, logrando un aumento del 18% en usuarios, con un monto promedio de $120 por transacción. Mensualmente, se enviaron $1.5 millones, totalizando $18,381,600 en el año. Actualmente, tenemos entre 594 y 624 negocios activos, incluyendo colegios, clubes y supermercados.

Crecimiento

31K
cuentas personales

Cuentas Personales

18%
en aumento

Transacciones

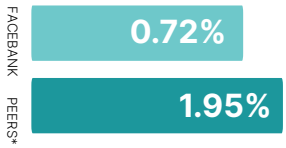
1.5M
mensuales

Ratios Financieros

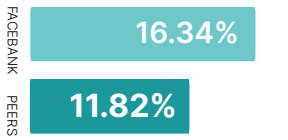


Ratios Financieros

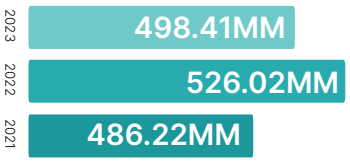
Costo de fondos



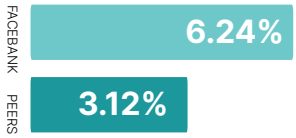
Retorno sobre patrimonio



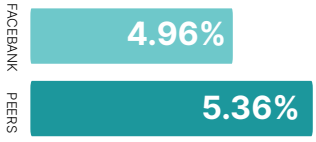
Activos



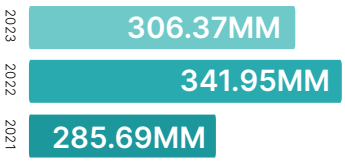
Texas ratio



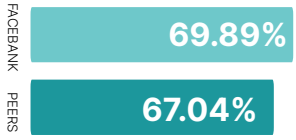
Rendimiento cartera hipotecaria



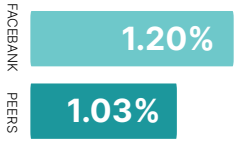
Préstamos



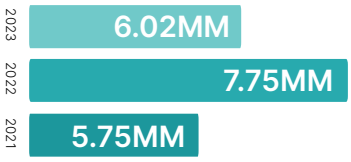
Ratio de eficiencia



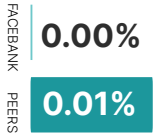
Retorno sobre activo



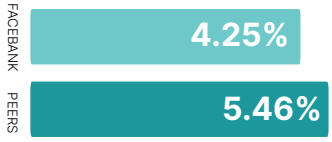
Ingresos netos



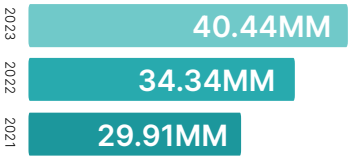
Activos reposeídos (OREO)



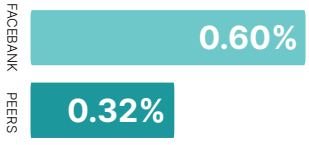
Rendimiento sobre activos productivos



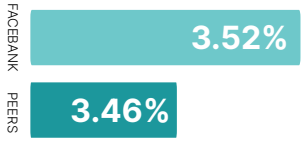
Capital



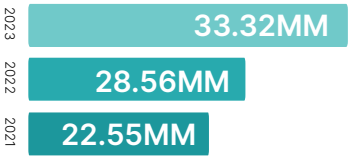
Activos no devengados



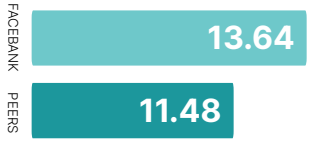
Margen financiero neto



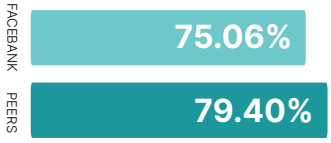
Ingreso bruto



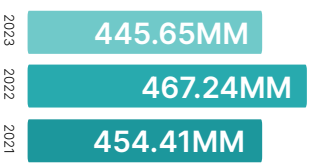
Multiplicador de capital



Depósitos/Total activos



Depósitos totales



*Peers: bancos similares menores de $2MM en activos en la Florida.

No lo decimos nosotros...

La calificadora de riesgos DBRS/Morningstar, confirmó la calificación de FACEBANK en BB, uno de los puntos en la escala fundamental es el crecimiento de una IBE.

Esto se debe a que hemos conservado indicadores financieros saludables y una excelente calidad en la cartera de activos en el banco.

MORNINGSTAR | DBRS

MORNINGSTAR | DBRS

PRESS RELEASE

OCTOBER 10, 2024

Morningstar DBRS Confirms FACEBANK International Corporation at BB; Stable Trend

BANKING ORGANIZATIONS

DBRS, Inc. (Morningstar DBRS) confirmed the credit ratings of FACEBANK International Corporation (FACEBANK or the Company), including the Company's Long-Term Issuer Rating of BB. The trend for all credit ratings is Stable. The Intrinsic Assessment (IA) for the Company is BB and the Support Assessment is SA3.

KEY CREDIT RATING CONSIDERATIONS

The credit ratings confirmation and Stable trend reflect FACEBANK's small niche franchise, strong and consistent earnings and solid asset quality. Additionally, the credit ratings are underpinned by FACEBANK's liquid balance sheet and conservative loan underwriting. Constraining the credit ratings are the Company's limited operating history, heightened operational risk surrounding BSA/AML compliance given its customer base, as well as the Company's limited scale and diversity.

CREDIT RATING DRIVERS

Continued strong execution on strategic initiatives resulting in increased franchise scale, including a more diverse funding mix, would result in a credit ratings upgrade. Conversely, an increased risk appetite, sustained asset quality deterioration or BSA/AML compliance issues would result in a downgrade of the credit ratings.

CREDIT RATING RATIONALE

Franchise Combined Building Block (BB) Assessment: Weak/Very Weak

Established in 2006, FACEBANK operates as an International Bank Entity (IBE) under the laws of the Commonwealth of Puerto Rico. The IBE charter offers a tax-efficient platform for the bank to provide U.S. dollar deposit and payment services to foreign customers. Through its Florida-based mortgage subsidiary, Florida Home Trust, the Company provides residential mortgage loans to foreign nationals primarily in South Florida. We note that FACEBANK has no lending or securities exposure to Puerto Rico.

A key component of its franchise is an online connection with the Federal Reserve Bank of New York (FRBNY), which allows it to efficiently clear deposits for its customers, saving both time and expense. We view this connectivity as a competitive advantage for FACEBANK, which is contingent on the Company maintaining strong BSA/AML and corporate governance practices and ongoing reviews from the FRBNY.

Over its limited operating history, FACEBANK has built a profitable banking franchise, helping its international customers transact business in the U.S. Instead of branches, the Company facilitates its deposit gathering both digitally and through an arrangement with Customer Service Representatives (CSR). These CSRs, professionals located primarily in South America, partner with the Company by referring customers with a need for a U.S. dollar account to FACEBANK, sharing in the profits from this customer relationship.

Earnings Combined Building Block (BB) Assessment: Good/Moderate

FACEBANK has shown solid profitability metrics driven by an above average net interest margin (NIM), supported by low funding

costs and an above average yield on its residential mortgage loan portfolio, its primary loan category. Additionally, the NIM has been increasing in recent periods, reflecting higher interest rates. Profitability is also aided by wire transfer fees, as well as the IBE charter, which allows the Company to operate essentially tax exempt.

Risk Combined Building Block (BB) Assessment: Moderate/Weak
FACEBANK's loan portfolio has performed well during the Company's operating history with low levels of non-accrual loans and no charge-offs over its operating history. However, the mortgage portfolio has grown during a period of strong Florida real estate prices and has not been tested in a downturn. The Company takes on some additional credit risk through its investment portfolio, which includes a portion held in corporate bonds, although this portfolio is predominately investment grade and adequately diversified by issuer and industry. Morningstar DBRS notes that the Company has emphasized reinvesting proceeds in more liquid and higher credit quality investment securities.

FACEBANK's primary loan product is residential mortgages in Florida to foreign nationals. While this poses additional risks, the Company mitigates these risks with full underwriting and conservative loan-to-value (LTV) ratios, including a maximum LTV of 70%, dependent on the type of property and borrower. Over its operating history, the bank has not repossessed a single property or recorded any charge-offs in the mortgage portfolio.

Funding and Liquidity Combined Building Block (BB) Assessment: Moderate/Weak
In addition to its core deposit product, the Company also gathers deposits from its lending business, requiring a deposit account for its loan customers, as well as the maintenance of escrow deposits. These sources result in a relatively stable and granular low-cost deposit base. The Company has also established alternative sources of funding, in addition to its on balance sheet liquidity sources. Of note, the Company maintains over one-third of its balance sheet in liquid assets and investment securities, including a large percentage in low credit risk U.S. government securities.

Capitalization Combined Building Block (BB) Assessment: Moderate
Morningstar DBRS views FACEBANK's capitalization as solid, given its capital generation, well-secured loan portfolio and risk management practices. In recent periods, capital levels have been increasing reflecting a reduction in risk-weighted assets as well as earnings retention. As of June 30, 2024, the Company-calculated CET1 ratio was a very healthy 20.57%. As a privately-held institution, FACEBANK's sources of additional capital are limited, although management has indicated that the Company's ownership does have the wherewithal to inject additional capital, if needed. Over the last ten years, internal capital generation has been more than sufficient to fund balance sheet growth.

Further details on the Scorecard Indicators and Building Block Assessments can be found at https://www.dbrsmorningstar.com/research/441062.

ENVIRONMENTAL, SOCIAL, AND GOVERNANCE CONSIDERATIONS
ESG Considerations had a significant effect on the credit analysis.

Governance (G) Factors

The following Governance factor(s) had a significant effect on the credit analysis: The Governance factor is viewed as a Significant factor affecting the credit ratings assigned to FACEBANK. The Company's unique franchise exposes it to significant BSA/AML risks. While FACEBANK has managed these risks well to date, any failure may jeopardize its important clearing relationship with the FRBNY, potentially leading to a significant reputational or financial impact. If these risks were absent, the credit ratings would be higher.

There were no Environmental/Social factor(s) that had a significant or relevant effect on the credit analysis.

A description of how Morningstar DBRS considers ESG factors within the Morningstar DBRS analytical framework can be found in the Morningstar DBRS Criteria: Approach to Environmental, Social, and Governance Factors in Credit Ratings (13 August 2024) https://dbrs.morningstar.com/research/437781.

Notes:
All figures are in U.S. dollars unless otherwise noted.

The principal methodology is the Global Methodology for Rating Banks and Banking Organisations (04 June 2024) https://dbrs.morningstar.com/research/433881. In addition Morningstar DBRS uses the Morningstar DBRS Criteria: Approach to Environmental, Social, and Governance Factors in Credit Ratings (13 August 2024) https://dbrs.morningstar.com/research/437781 in its consideration of ESG factors.

The credit rating methodologies used in the analysis of this transaction can be found at: https://dbrs.morningstar.com/about/methodologies.

The primary sources of information used for these credit ratings include Morningstar Inc. and company documents. Morningstar DBRS considers the information available to it for the purposes of providing these credit ratings was of satisfactory quality.

The credit rating was initiated at the request of the rated entity.

The rated entity or its related entities did participate in the credit rating process for this credit rating action.

Morningstar DBRS had access to the accounts, management and other relevant internal documents of the rated entity or its related entities in connection with this credit rating action.

This is a solicited credit rating.

The conditions that lead to the assignment of a Negative or Positive trend are generally resolved within a 12-month period. Morningstar DBRS's outlooks and credit ratings are under regular surveillance.

For more information on this credit or on this industry, visit dbrs.morningstar.com.

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Ratings

FACEBANK International Corporation

Date Issued	Debt Rated	Action	Rating	Trend	Attributes
10-Oct-24	Long-Term Issuer Rating	Confirmed	BB	Stb	US
10-Oct-24	Short-Term Issuer Rating	Confirmed	R-4	Stb	US

Date Issued	Debt Rated	Action	Rating	Trend	Attributes
10-Oct-24	Long-Term Deposits	Confirmed	BB	Stb	US
10-Oct-24	Long-Term Senior Debt	Confirmed	BB	Stb	US
10-Oct-24	Short-Term Instruments	Confirmed	R-4	Stb	US

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